

INSTITUTE OF ACTUARIES OF INDIA

EXAMINATIONS

CB3 – Business Management

May 2025

INDICATIVE SOLUTION

Question	Solution	Comments	
1	C	Strong consumer loyalty in EU FMCG markets makes it difficult for new entrants to gain share.	[2]
2	A	D2C offers brands full ownership of the customer relationship, experience, and data.	[2]
3	C	Leading with universal values while retaining subtle cultural depth helps bridge trust and uniqueness.	[3]
4	D	A low-cost, digital-first model allows quick testing, consumer learning, and scalability.	[3]
5	C	CAC and repeat rate directly show product-market fit and marketing effectiveness.	[3]
6	A	White labeling hides the Naturé brand, making it hard to build equity and recognition.	[4]
7	B		[2]
8	D		[2]
9	C		[3]
10	C		[3]
11	E		[3]
12	A		[3]
13	D		[4]
14	D		[2]
15	E		[2]
16	A		[3]
17	E		[3]
18	D		[3]
19	E		[4]
20	C		[4]
21	E		[2]
22	C		[2]
23	B		[3]
24	C		[3]
25	E		[3]
26	C		[4]
27	B		[4]
28	E	Average length of tenure by department would help identify areas with high turnover, which can be a key indicator of attrition risk.	[2]
29	A	High attrition of technical staff increases the need for recruitment, training, and onboarding, which can lead to elevated operational costs.	[2]
30	A	By measuring burnout levels in teams with high project rotation, you can assess if project stability reduces employee burnout, which could lead to lower turnover.	[3]
31	A	Consistency in remote work rules across regions ensures fairness and clarity, improving both employee satisfaction and operational efficiency.	[3]

32	A	Offering unique benefits like wellness programs or other employee perks	[3]
33	B	Leadership development programs help ensure that managerial transitions are smooth and employees have confidence in their leadership, which improves satisfaction and engagement.	[4]
34	B	A balanced approach that includes leadership development, revising project rotation policies, and offering career development pathways will address both immediate attrition issues and create long-term retention solutions.	[4]
